

When the Going Gets Tough... THE TOUGH GET GOING

How has the current economic turmoil affected India's electronics industry? How hard have we been hit? While trying to figure out these issues, we chanced upon many firms that are still going 'tough' and are determined to grow despite all odds. Here's their story, and that of the Indian electronics industry

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Innovative growth strategy is even more important during an economic downturn than in a normal business climate according to the Indian electronics industry. Though the global recession has taken its toll in more or less all segments of the Indian electronics industry, it seems, however, that the market has been able to stave off its effect to a good extent. Some firms are even upbeat enough to think about expansion and growth. Or so it seems from a recent survey conducted by the EFY research bureau to assess the impact of the global recession on the electronics sector in India, and also to seek out those players who are ambitious enough to chart out a growth plan of their own even in such troubled times.

We interviewed 60 top executives

Methodology

For the purpose of conducting this survey, 60 companies were randomly selected. This sample is a microcosmic representation of India's electronics sector. Senior technical executives from these organisations were asked six standard questions regarding:

1. Impact of the global economic meltdown on their organisation
2. Intensity of the impact
3. Their counter-strategy
4. Areas of cost-reduction
5. Ways to increase sales
6. Expansion plans

The responses obtained from the interviews were then collated and a trend analysis was done. The results of the analysis are presented here.

from different firms of the Indian electronics sector on the impact of the meltdown on their businesses, their counter strategies, growth plans, if any, and a host of other issues.

The overall trend

More than 90 per cent of those surveyed reported being impacted by the meltdown, with more than one third of them being seriously affected. Only a small percentage (about 8 per cent) escaped

unscathed. As we delved a little deeper, we found that more than half of the survey respondents were facing a medium-intensity impact, with a revenue loss between 5 per cent and 15 per cent in Q3 this year, while 38 per cent were affected heavily (with revenue loss of more than 15 per cent in Q3). In some cases, especially local trading companies, the impact had been much more severe—leading to a revenue loss of more than 50 per cent. A small fraction was, however,

The Overall Trend

Six graphs that represent statistical analysis of trends based on the inputs from 60 firms spread all across India

